

Michigan License Law and Rules

STUDY SHEET

Complaints

- Filed in writing using Statement of Complaint form.
- Informal conference: tries to resolve complaint before contested case hearing
- Office of attorney general issues subpoenas for individuals to testify at contested case hearing

Penalties

- Aggravating circumstances may allow for a more severe penalty
- Mitigating circumstances may allow for a lesser penalty

Licensing Requirements

- License required when charging a fee for performing real estate services
- No license required for: bankruptcy trustees, executors, attorneys, individual lessors, and owner sellers

Salesperson

- 40hrs+ of professional education
- Application
- Exam
- Recertification every 3 years

Broker

- All training of salesperson plus:
- 90hrs+ of professional education
- Three years experience
- Application
- Exam
- Recertification every 3 years

Eligibility, Education, and Experience

- Associate broker: licensed broker who chooses to work under the supervision of a broker
- Brokers can operate as:
 - A business owner, or
 - A sponsoring broker (manage an office of salespersons and associate brokers).

License Renewal/CE

- Brokers, associate brokers, and salespersons all have the same continuing education requirements.
- Limited appraiser has less requirements than other types of appraisers

Transfers and Changes

- Licenses can't be converted from salesperson to broker or from broker to salesperson.
- License transfers processed online
- Only one type of license can be held at a time.
- Salespersons can transfer their license to another individual broker or a broker company.

Commission Conditions

- Kickbacks are allowed as long as certain conditions have been met.
- Net listings are illegal

Department of Licensing and Regulatory Affairs (LARA)

- Oversees more than 1.2 million individual and institutional licenses annually
- Chief Deputy Director oversees Bureau of Professional Licensing

Board of Real Estate Brokers and Salespersons

- Nine members: six licensed real estate professionals and three unlicensed members of the general public
- Department of Licensing and Regulatory Affairs oversees the board.

Material Facts

- Latent defect:
 - Not visible during a routine inspection
 - Could affect the value of the property.
- Environmental and health hazards:
- Conditions that are hazardous to potential buyers
- May affect property value if damage caused by the condition is significant

Places of Business

- An out of state broker can operate a branch office if an associate broker manages the office
- All broker licenses must be prominently displayed in place of business